

significant role. As investors become more educated about the potential benefits of MFs, particularly through SIPs, they are drawn to the disciplined and systematic approach to wealth creation. Secondly, the ease of access and user-friendly tech-enabled platforms provided by fund houses and distributors have made it convenient for investors to participate in MFs through the SIP route by investing small amounts at fixed intervals. Over the past few years, investors have experienced that it is possible to grow wealth even through small ticket size investments and that has also helped popularise SIPs.

▶▶▶

MFs are often marketed or sold as an investment product that gives investors the advantages of long-term compounding. But they are also subject to short-term volatility and oftentimes investors get affected by those in-between swings. What would you advise such investors?

As an industry, we always advise investors to adopt a patient and disciplined approach, focussing on their long-term financial goals rather than being swayed by temporary market fluctuations. Understanding one's own risk tolerance, choosing funds suited to one's risk profile and goals, and regularly reviewing

the portfolio to maintain the right asset allocation can help investors stay invested without having to worry about the short-term volatility. SIP as a route of investing in MFs also helps even out the volatility in the long term due to rupee cost averaging.

▶▶▶

AMFI is an active industry body and engages in a wide variety of activities ranging from regulatory discussions to investor awareness initiatives. Going ahead,

to sustaining industry growth. As more new investors and distributors join the industry, the more it will attract newer players and global ones to take part in the growth. The MF industry has created a supportive ecosystem for fund houses of all sizes to have a seat at the table and get their voice heard. All fund houses, big or small, have good representation on the AMFI board and all the committees. AMFI will continue supporting fund houses, irrespective of their size or legacy.

with fixed return products makes it difficult to convince them to invest in MFs that have market-linked returns. Hence, MFs continue to be a push product and have to be sold to investors.

AMFI and the AMCs regularly conduct on-ground investor awareness programmes to reach out to prospective investors across the country, providing them with information on MF investment, risk factors, and benefits. AMFI and the AMCs have been promoting the con-

“AMFI is engaged in continuous discussions with Sebi to ensure a favourable environment for new players to enter the markets”

| 103

what do you think should be the two to three key focus areas for AMFI to ensure that the regulatory framework continues to attract new players while, at the same time, supporting the smaller fund houses?

AMFI is engaged in continuous discussions with regulator Sebi, in collaboration with the industry, to ensure a favourable environment for new players to enter the market. Secondly, enhancing investor awareness through education and outreach programmes and increasing the distribution footprint are crucial

▶▶▶

While the AUM of the industry is growing at a fast clip, with ₹10 lakh crore being added in just 13 months, the low investor base is looked upon as a weakness. What can MF players and AMFI do to enhance the investor base of mutual funds?

While the ‘Mutual Funds Sahi Hai’ campaign has been extremely successful in popularising MFs, the penetration in Tier III and IV markets leaves a lot to be desired.

Indians are good savers but not good investors. Their fascination

cept of systematic investing, particularly through SIPs.

AMFI and AMCs provide online tools and resources to help investors make informed decisions. The mutual fund distribution footprint is still limited. AMFI is running distributor recruitment programmes and popularising MF distribution as a career option through its ‘MFD Karein Shuru’ media campaign. While all efforts have shown results, it will take time for them to reach a large scale. **BT**

@ashishrukhaiyar